

Entero Healthcare: India's Silent Pharma Consolidator Is Entering Its Second Act

From a thin-margin distributor to a tech-enabled healthcare platform & why Entero's rally is more than just a dead-cat bounce.



KARAN SHAH

JAN 07, 2026



26



13



9

Sh

Karan's Substack | 7th Jan 2025 | Issue: 47

Firstly Disclaimer:

As per the Latest SEBI Mandate, this isn't a Trading/Investment RECOMMENDATION nor for Educational Purposes; it is just for Informational purposes only. The Price Chart data used is 3 Months old, as Showing Live Price Chart Data is not allowed according to the New SEBI Mandate.

I am not a "SEBI-registered research Analyst and Investment Adviser" (No RECO, DOYR)

This analysis in my Newsletter is *just my Personal View* and is intended solely for informational purposes and should not be interpreted as financial advice.

It is *highly advisable* to consult a *qualified financial advisor* and conduct thorough research before making any investment decisions.

Dear Readers,

So, coming to this *Mid-Week's Newsletter*, while scanning through a bunch of *sectors* my subsequent *Research, every week*, I try to pick one company and dive way deeper than the headline numbers.

So when I first started digging into Entero Healthcare, I assumed it was just another low-margin pharma distributor riding India's healthcare growth story.

Then I noticed something odd.

	Mar 2020	Mar 2021	Mar 2022	Mar 2023	Mar 2024	Mar 2025
Sales +	1,350	1,773	2,522	3,300	3,922	5,096
Expenses +	1,326	1,758	2,498	3,236	3,810	4,924
Operating Profit	23	15	24	64	112	172
OPM %	2%	1%	1%	2%	3%	3%

Despite operating in a business infamous for razor-thin margins, Entero's EBITDA margins were quietly inching up *every single year*. At the same time, the company was swallowing dozens of smaller distributors, without blowing up its *balance sheet*.



It surged in *Price this Week* with almost a 17.5% Upmove. Reason Being Exit of Sma Cap World Fund and That Stake Being Bought by ICICI Pru Mutual Fund at 950 F

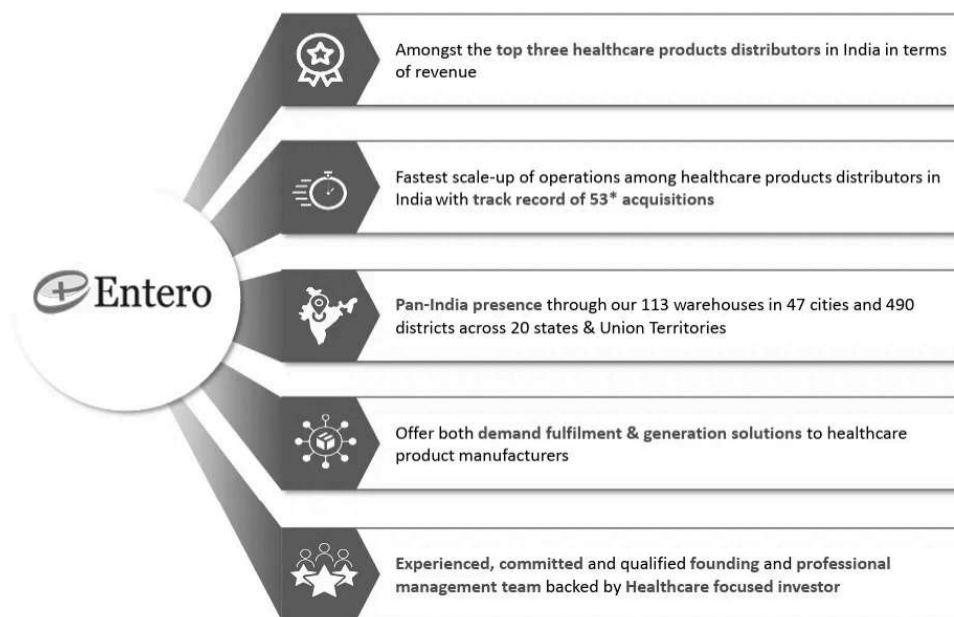
Insider Trades					Bulk Deals		Block Deals		Sast Trades	
Person					Quantity		Pri			
29 Dec 2025										
Smallcap World Fund Inc >					Sale		22,69,517		9	
Icici Prudential Mutual Fund >					B		21,82,039		9	

This wasn't just a distributor. This was a platform in the making.

Now, who are they? (Just Overview)

What Entero Does

We are a Healthcare Supply Chain Solutions Specialist



Our Warehouses



Entero Healthcare Solutions is one of India's largest and fastest-growing healthcare product distribution platforms, acting as the backbone between:

- Pharma & healthcare manufacturers
- Retail chemists
- Hospitals
- End consumers

Geographical Reach of Distribution Network



Customers	85,300+ Retail Pharmacies catered to	2,800+ Hospital customers	2,800+ Supply relationships with healthcare product manufacturers
Scale of operations	6,10,169 Total Warehouse area (sq ft.)	113 Warehouses	~83,000+ SKUs handled
Presence	490 Districts covered	47 Cities	20 States

Their North Star:

Not just “move boxes”, but **digitally power India’s healthcare supply chain**; from demand generation to last-mile fulfilment.

With a mission to build India’s most comprehensive, digitally integrated, and organised healthcare distribution platform, Entero combines demand generation and demand fulfilment into a full-stack, technology-driven ecosystem that serves pharmaceutical companies, hospitals, retail pharmacies, and consumers.

Origin Story:

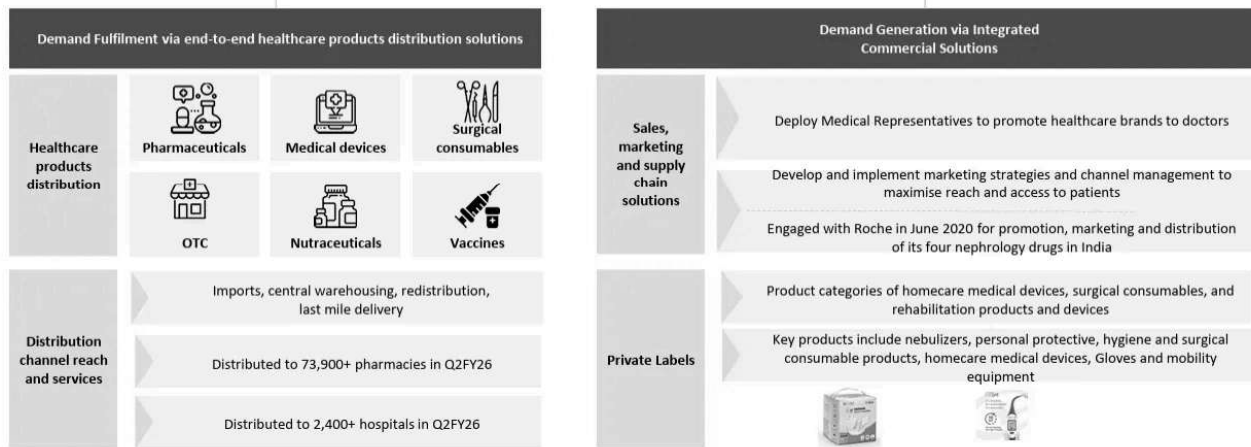
Founded in 2018, Entero started by aggregating regional distributors in a market where:

- Thousands of players operate locally
- Scale is rare
- Technology adoption is minimal

Differentiated Business Model



Offers both demand generation and demand fulfilment capabilities to healthcare brands and product manufacturers



Our Demand generation and demand fulfilment solutions are integrated across the value chain, and we benefit from synergies arising from our wide customer network, distribution infrastructure and geographic reach

Business Model and Operations:

Core Business: Distribution and marketing of pharmaceutical and surgical product including generic formulations, surgical consumables, medical devices, nutraceutical biosimilars, and hospital consumables.

Demand Fulfilment:

This is done via end-to-end healthcare products distribution solutions regarding Pharmaceuticals, OTC, Medical devices, Nutraceuticals, Surgical consumables, Vaccines

Demand Generation:

The company provides Integrated Commercial Solutions, which include Sales, marketing, and supply chain solutions, as well as private labels.

*This **dual-service model** creates significant operational synergies across its extensive network of pharmacies, hospitals, and manufacturers.*

Growth Strategy: Aggressive expansion through acquisitions. In FY2025 alone, the company acquired stakes in seven distribution entities, including 80% stakes in Ave Lifecare and Gourav Medical Agencies, as well as the full acquisition of Suprabhat Pharmaceuticals and Devi Pharma Wellness.

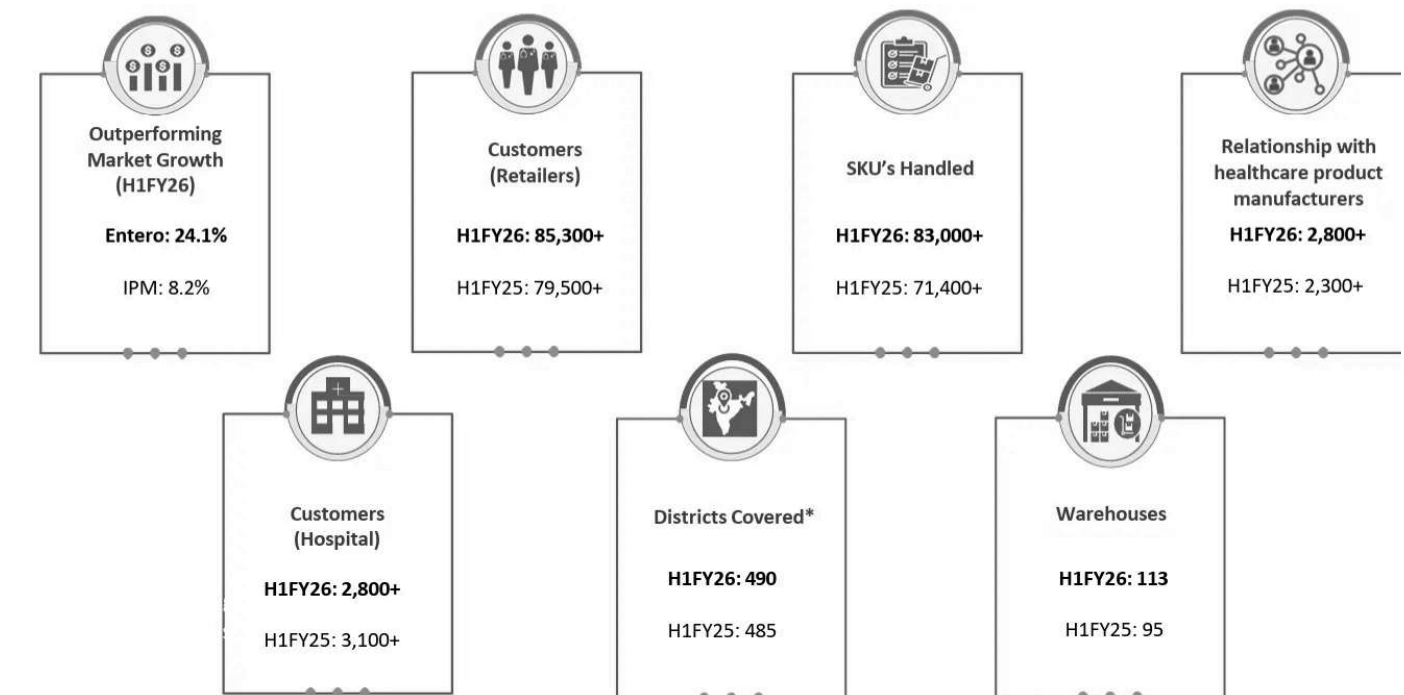
Technology Edge: Utilises a proprietary technology platform for demand fulfilment and supply chain optimisation, positioning itself as a "Healthcare Supply Chain Solutions Specialist."

The insight was simple but powerful:

Consolidation + tech + scale *can create pricing power where none exists.*

Since its inception, Entero has completed **40–50 acquisitions**, steadily stitching together a pan-India platform.

How Do They Make Money and Where?



Core Revenue Streams:

1. Pharma & Healthcare Distribution

- 83,000+ SKUs
- 2,800+ manufacturers
- 85,300+ retail chemists
- 2,800+ hospitals
- 490 Districts
- 113 Warehouses

2. Demand Generation & Marketing Services

- *Medical representatives*
- *Brand visibility & market access*
- *Deep partnerships (Roche, Abbott, Servier, Biodis)*
- Although **Servier ends exclusive distribution pact in May 2025**

3. Private Labels & Adjacent Products: The company sells private-label products and medical devices under its **Entero Surgicals brand**, including: Nebulisers, personal protective, hygiene and surgical consumable products, homecare medical devices, Gloves and mobility equipment, homecare medical devices, surgical consumables, rehabilitation products, and devices

Proprietary Technology Platform with Integrated Business Intelligence Tools and Solutions



Technology-Focused Approach Anchored on Our Proprietary Integrated Tech Platforms and Business Intelligence Tools...

Single-interface platform to pharmacies



...To Grow our Operations and Bring Efficiencies in the Healthcare Products Distribution Ecosystem



○

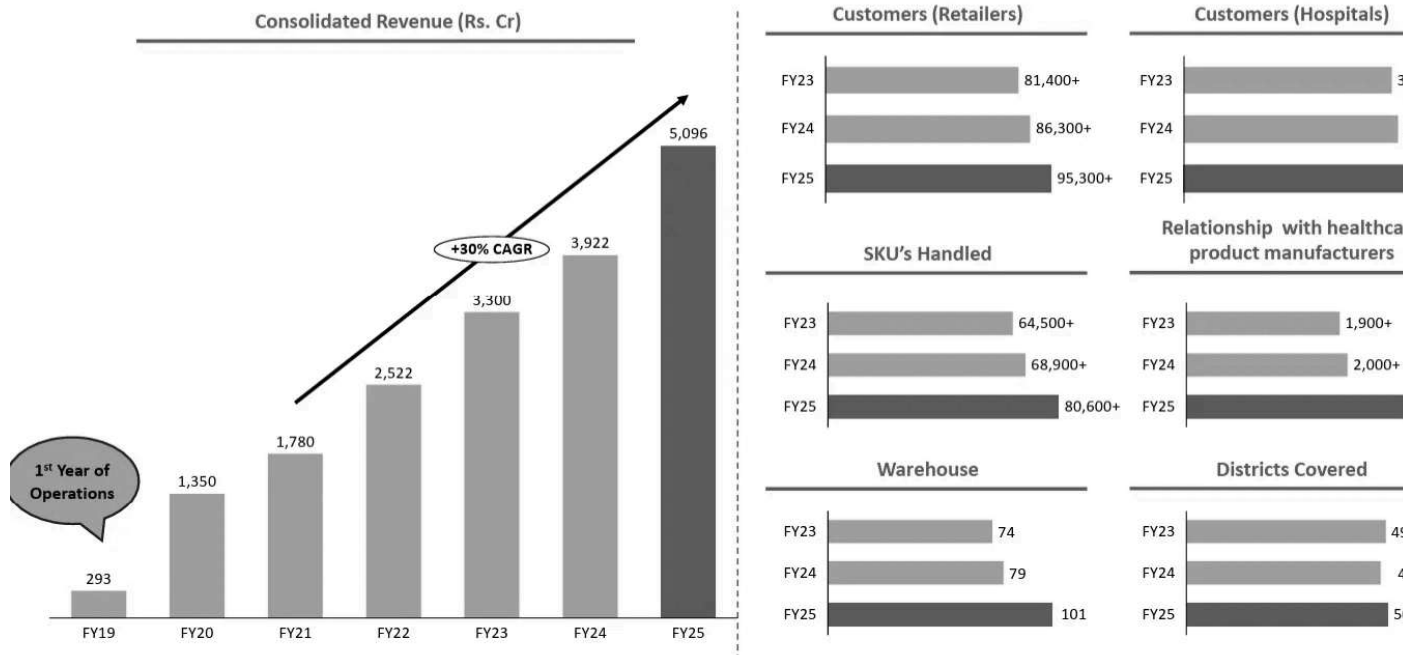
4. Technology Platforms (HealthEdge)

- Digital tools for retail chemists
- Ordering, inventory, loyalty, credit, diagnostics

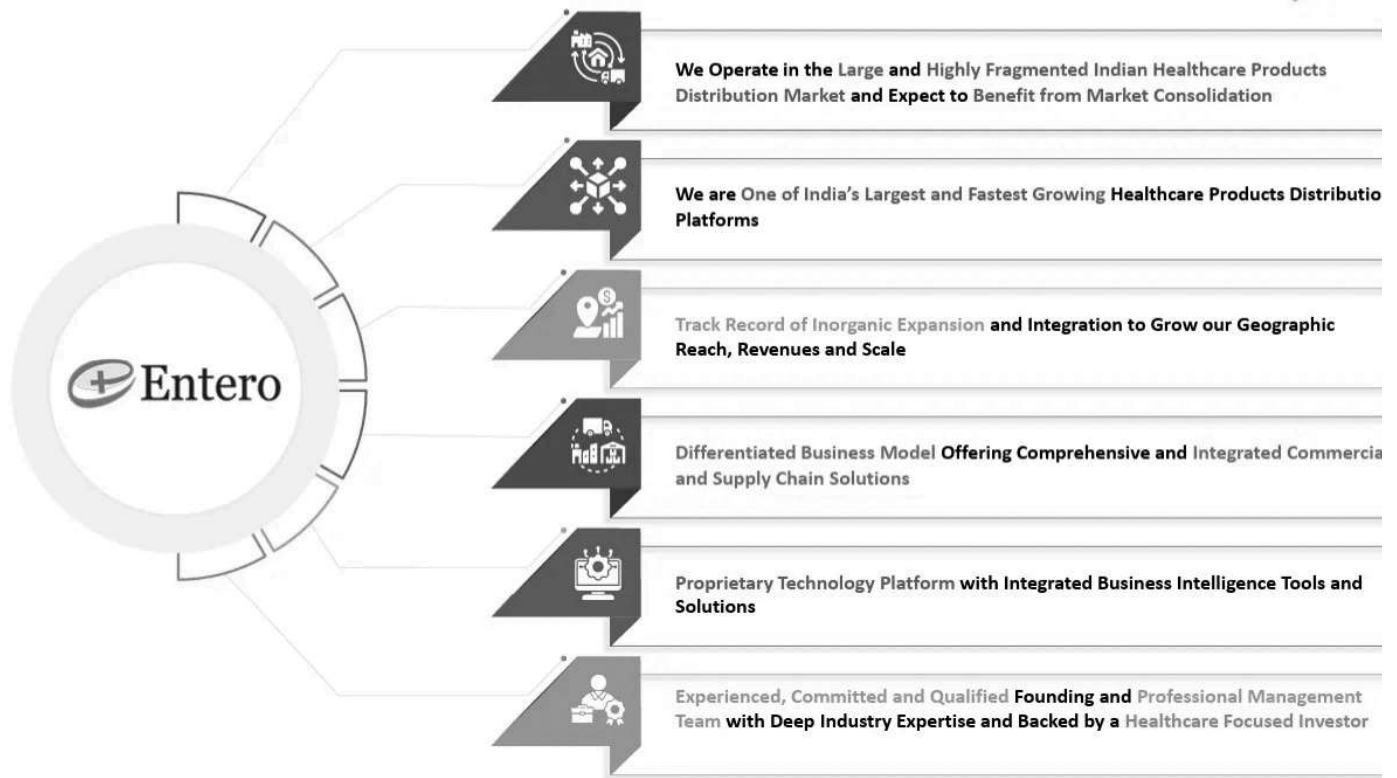
5. Platforms:

- a) **Entero Direct:** A single-interface platform for pharmacies, hospitals, and clinics, offering real-time access to product availability, inventory, and pricing.
- b) **Entero CRM:** A customer relationship management tool to enhance customer interactions, drive retention, and increase wallet share.
- c) **Entero ERP:** An in-house cloud-based ERP system implemented nationwide offering seamless data integration, centralised controls, enhanced security, and reduced data loss risks.
- d) **Teqtic:** A cloud-based data warehouse and analytics tool that unifies product codes across warehouses and provides a nationwide view of sales and inventory data trends, aiding in decision-making

Building a Highly Scalable Business Model



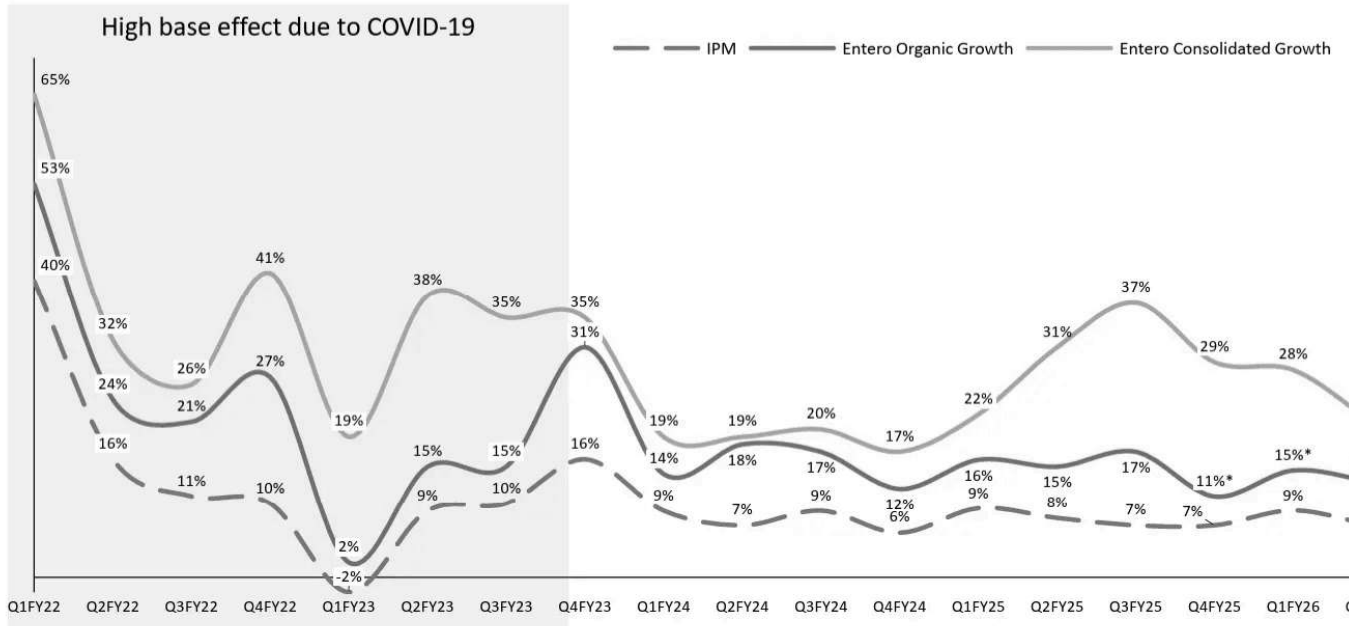
Why This Matters



Distribution gives scale, MedTech gives margin, Technology gives stickiness.

Zooming Out! 10,000 Ft. View:

Growing faster than Industry... Gaining Market Share



India's Healthcare Distribution Opportunity:

The Indian healthcare sector is experiencing transformative growth, valued at ₹31.8 lakh crores (\$372 billion) in 2023 and projected to reach ₹54.67 lakh crores (\$638 billion) by 2025, representing a 17.5-22.5% CAGR.

Healthcare spending is projected to increase from 3.3% of GDP to an expected 5% 2030, driven by government initiatives, insurance penetration, and rising healthcare consumption among the middle class.

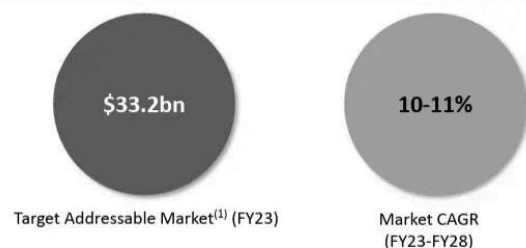
Market Structure: The healthcare distribution sector in India remains highly fragmented, with consolidation opportunities. Entero's strategy of acquiring regional distributors aligns with this consolidation trend.

- Pharma Distribution- Emerging Theme in Listed Healthcare Space
- Regulatory formalisation favours **organised players**
- Healthcare demand is secular, not cyclical

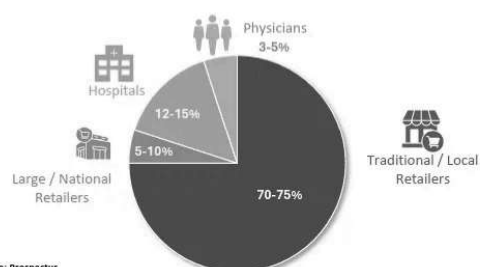
Healthcare Products Distribution Market Overview



Large and Growing Target Addressable Market...



Industry Dominated by Traditional Local Retailers



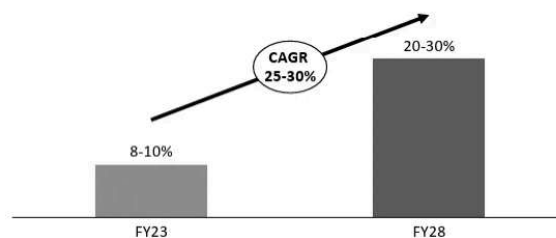
Source: Prospectus

Note:

(1) Target Addressable Market is with respect to pharmaceutical and medical devices (including hospital supply of medical devices and consumables)

...Led by Increasing Share of Large / National Distributors

Share of the total distributor sales for Large / National pharmaceutical distributors

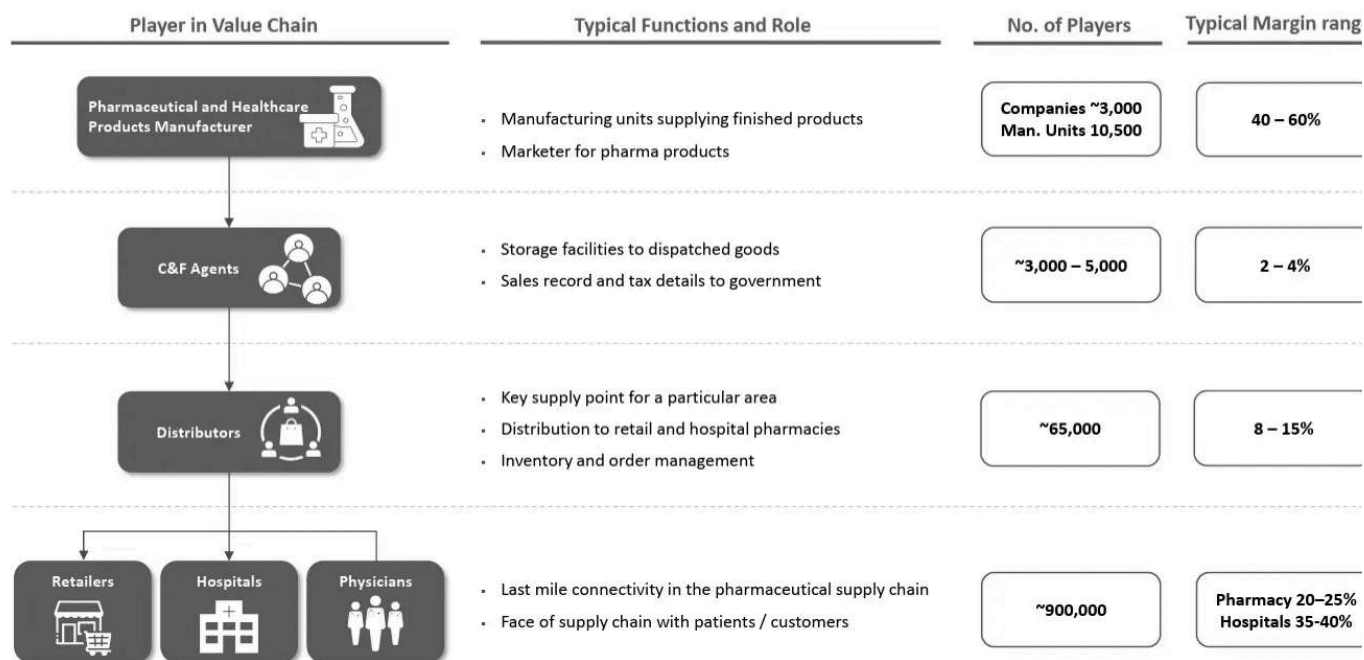


Key Trends

- Consolidation in the distribution industry
- Technological advances to support operational efficiencies in distribution
- Micro-market and regional data opportunities
- Higher demand for surgical and medical devices
- Increasing government focus on generics to further support distributors
- Omnichannel adoption to improve demand for pharmaceutical distribution

Globally, distributors play a **high-value commercial role**. India is just catching up.

Pharmaceutical Supply Chain in India is Highly Fragmented



Growth Drivers:

- Expanding hospital infrastructure: Private hospitals adding 4,000+ beds with ₹11,500 crore investments in FY26
- Rising insurance penetration: Over 550 million Indians are now covered under health insurance schemes
- Tier 2 and Tier 3 city expansion: 55-60% of new hospital beds coming from secondary cities
- Ageing population: A Growing elderly demographic requiring chronic disease management
- Medical tourism: Expected to reach \$14.31 billion by 2029

The company is well-positioned to benefit from several macro trends:

Digital Health Integration: The digital health market is expected to grow at a 24.4' CAGR from 2025-2030, and Entero's technology platform positions it to capitalise this trend.

Supply Chain Optimisation: Post-pandemic focus on resilient healthcare supply chains favours established distribution networks.

Rural Penetration: Government push for rural healthcare infrastructure creates distribution opportunities beyond metros.

Entero is positioning itself as the Indian equivalent of an integrated healthcare distribution platform, not just a wholesaler.

Numbers That Matter (Q2 FY26):

	Dec 2022	Mar 2023	Jun 2023	Sep 2023	Dec 2023	Mar 2024	Jun 2024	Sep 2024	Dec 2024	Mar 2025	Jun 2025	Sep 2025
Sales -	829	887	899	996	993	1,034	1,097	1,301	1,359	1,339	1,404	
YOY Sales Growth %					19.73%	16.57%	22.00%	30.55%	36.91%	29.48%	27.96%	2
Expenses +	810	867	873	968	964	1,005	1,067	1,258	1,309	1,290	1,354	
Operating Profit	19	20	26	29	29	29	30	42	50	49	50	
OPM %	2%	2%	3%	3%	3%	3%	3%	3%	4%	4%	4%	
Other Income +	2	1	1	2	2	9	13	11	8	7	6	
Interest	13	13	14	18	16	17	10	11	10	10	11	
Depreciation	5	7	6	6	6	7	7	7	8	8	9	
Profit before tax	2	1	7	7	8	14	27	35	39	37	36	
Tax %	-44%	490%	6%	23%	16%	-56%	25%	25%	25%	16%	17%	
Net Profit +	4	-4	6	5	7	21	21	26	29	31	30	
EPS in Rs	8.05	-9.05	15.18	3.19	4.22	4.82	4.62	5.43	5.85	5.91	6.39	

- Revenue: ₹1571 crore (Up 20.80% YoY & Up 11.90% QoQ)
- EBITDA: ₹62 Cr (Up 46.20% YoY & Up 23.90% QoQ);
- OPM% Increased from 3% → 4%.
- PAT: ₹37 Cr (Up 33.80% YoY & Up 21.10% QoQ)
- EPS: ₹7.26 (Up 33.70% YoY & Up 13.60% QoQ)

What the numbers tell us:

- › Revenue growth adjusted for impact of revenue recorded on net margin basis was 23.4% YoY. Organic revenue growth adjusted for impact revenue recorded on net margin basis was 13.4% YoY.
- › Reported revenue growth at 20.8% YoY and 11.9% QoQ.
- › Gross margin improved by 29bps QoQ to 10.2%.
- › EBITDA Margin improved by 38bps QoQ to 4.0% in the quarter.
- › PAT Margin was +18bps QoQ to 2.3%.
- › NWC days improved to 63 days from 66 days in the last quarter.
- › Steady improvement in return ratios with RoCE continuing to improve to 13.8% vs 11.5% in the last quarter. RoE stood at 11.0% vs 9.0% in the last quarter.

- **FY26 Outlook:**
 - Target >30% revenue growth, with >4% full-year EBITDA margin.
 - Acquisition pipeline supports ₹500 crore ARR inorganic contribution.
 - Q1 FY26 inorganic revenue: ₹230 crore (up from ₹218 crore YoY).
- **Topline (Sales): *Growing for the Past 3 Quarters***
- **Sales Growth: ~20.76% (*decreasing since Dec 2024*)**
- **Gross Margin: ~10.2% (*expanding*)**
- **EBITDA Margin: ~4.0% (*expanding since Dec 2022*)**
- **PAT Margin: ~2.3%**
- **EPS: *Growing Since Past 6 Quarters***
- **ROCE: ~13.8% (*improving steadily*)**
- **Working Capital Days: ~63 days (*Q2 FY26*)**

What They Hide:

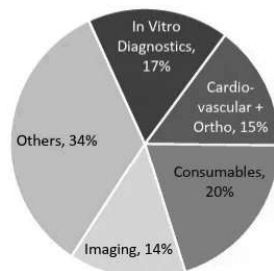
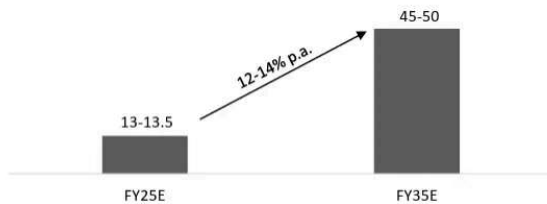
This is still early innings. Margins are Okish, but directionally very important.

What am I excited about?

Entero's MedTech revenue expected to cross Rs. 1,000 Cr*



MedTech Industry Overview (USD bn)



* Annualized revenue of existing and announced acquisitions of MedTech businesses post integration

Strategic rationale for acquisitions in MedTech market

- MedTech is **large and a growing** market
- Synergistic with Entero's pharmaceutical distribution
- Attractive and significant **consolidation opportunity**
- Distributors play a high **value-add** role
- Higher Margin profile** for distributors than in the pharmaceutical market

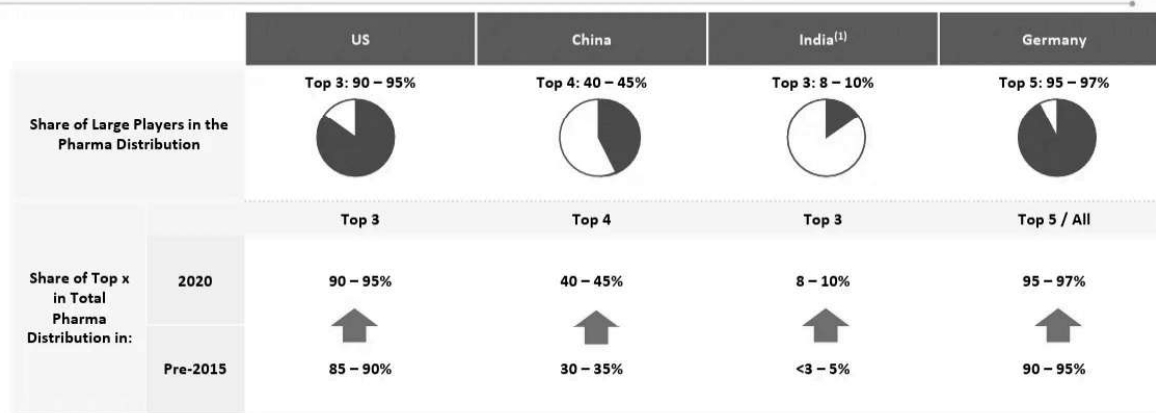
The current business and acquisitions are focused around IVD and Cardiology/Orthopedic devices segment which are large and high growth

Key Strategic Partnerships:

Entero acts as a **strategic growth partner** for global and domestic manufacturers, providing integrated commercial and supply chain solutions:

- **Roche:** Long-standing collaboration for **marketing, promotion, and distribution** of four **nephrology drugs** in India since 2020.
- **Abbott:** Partnership for pan-India reach in **speciality segments** such as CVD and Neurology.
- **Biodis Pharmaceuticals:** Partnership for **4DryField surgical kits**.

Highly Fragmented Market... to Accelerate Consolidation



Market Consolidation is expected in India with share of large / national distributors expected to rise to 20-30% by FY28 supported by multiple factors and Entero is expected to benefit from this trend



Technology & Digital Innovation:

Technology is at the core of Entero's scalable, efficient, and transparent operation

- **Proprietary Integrated Platform:**
 - Enables real-time access to pricing, inventory, order status, and promotion schemes.
 - Supports 24/7 ordering, digital reconciliation, and AI-driven analytics.
- **HealthEdge Program:**
 - Digital ecosystem for independent retail chemists, combining the **Aayu Chemist app** and the **Medcords platform**.
 - Offers e-store creation, loyalty programs, cashback offers, and integration (e.g., Paytm) to improve profitability and digital engagement.

Other Major Catalysts:

- Aggressive MedTech acquisitions (~60% of recent M&A)

- ₹1,000+ crore revenue expected from acquisitions alone
- Single-digit EV/EBITDA deals; rare at this scale

One of India's Largest & Fastest Growing Healthcare Supply Chain Company



Geographical Reach of Distribution Network



Distribution Presence

20 States

47/490 Cities/Districts

Customer Network

85,300+ Retail Pharmacies catered to

2,800+ Hospital customers

Warehouse Infrastructure

113 Warehouse Locations

6,10,169 Aggregate size (Sq ft)

Breadth of Offerings

2,800+ Healthcare product manufacturer relationships

83,000+ SKUs

- Margin accretion guided at **+50–75 bps EBITDA** post integration
- Working capital discipline is improving quarter after quarter
- Management is clearly prioritising cash flows now, not just growth

What Management Said:



Prabhat Agrawal
Promoter, Managing Director and CEO

The quarter reflects continuation of strong growth trajectory and margin expansion. We achieved an EBITDA Margin of 4% in the quarter through focus on gross margin expansion along with improvement in net working capital days.

As we complete the first half of the year, we remain on-track to deliver on our full-year guidance.

We are expanding significantly in the MedTech segment through new acquisitions which marked a pivotal step forward- a move that creates meaningful synergies with our existing pharmaceutical distribution and enhances our overall margin profile.

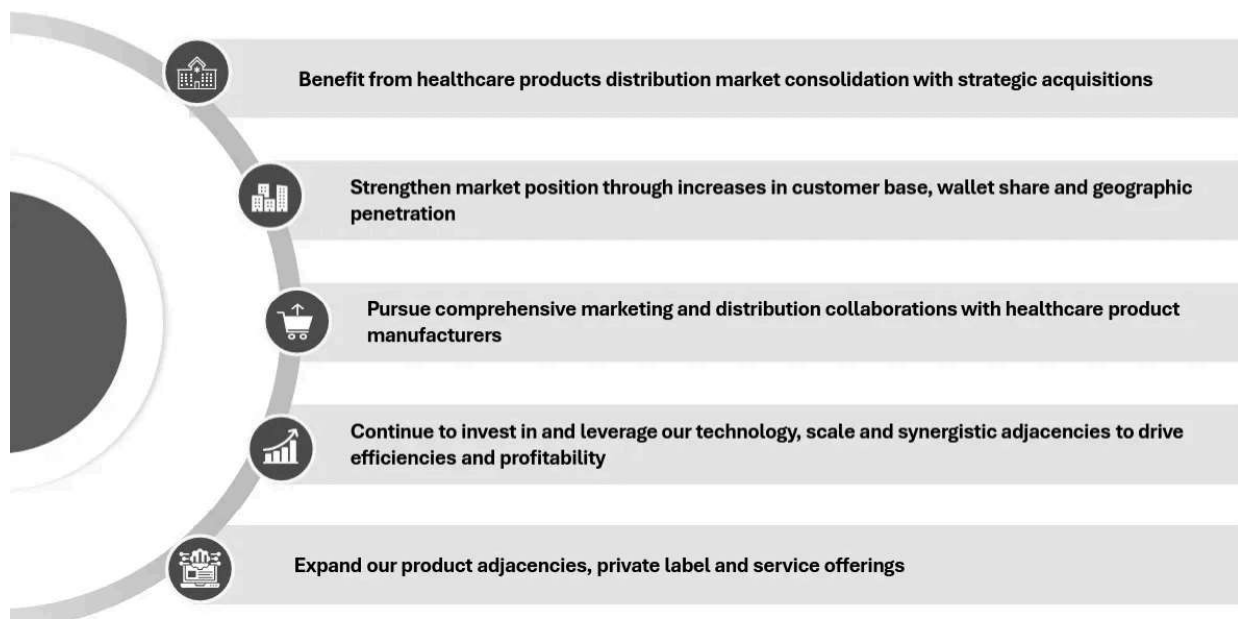
With stronger momentum and visibility in the second half of the financial year, we are well positioned to accelerate growth, deliver margin improvement and operating cash flow.

If there's one thing that stands out after going through the **Earnings call and MD&** it's that management is no longer selling a vision; they're defending an execution plan. They were Calm, data-driven, & Confident about Future growth.

They repeatedly *emphasised Integration Discipline, Return Ratios & Margin Quality over Raw Growth*

This is not “*storytelling management*”. This is *execution-first management*.

Key Growth Drivers



On Growth Confidence (Despite Optics)

One of the key concerns raised by analysts was whether Entero can still hit its **~30% FY26 growth guidance**, given that **headline H1 growth** appeared softer.

Prabhat Agrawal:

Chintan, on the first half of this year, on a like-to-like basis, we were 27.8% growth, and against a guidance of let's say, 30%. So, the gap of 2.5% is primarily coming from delay in closing new inorganic deals, which we are now trying to catch up in the second half of the year. We have already done the deals announcement and everything. So, we are fast tracking the closure process with these entities, and we will be very close to the full year guidance on like-to-like basis.

They clarified that on a **like-to-like basis (adjusted for accounting changes)**, H1 FY growth was already **27.8%**, not meaningfully below guidance. The shortfall, they explained, was not organic weakness but the **timing of inorganic deal closures**.

Prabhat Agrawal:

No, primarily delay in closing deals because when we had given 30% revenue growth guidance for this year, there were three components of it. One was organic growth. The second was calendarization impact for last year acquisitions in this year and the third was new deals. So first two are in line. The third one, there is a delay, delay in the sense that we should have closed more deals in H1 than in H2, because that has a full year impact on, I mean, impact on the overall full year revenue growth. So, if you look at the presentation that I've done, almost 80% of deals are getting closed in H2 and only 20% of deals got closed in H1. So that imbalance of 20% and 80% is creating that lower than guided revenue growth in the first half of the year.

Management openly stated that **nearly 80% of the acquisition pipeline is scheduled to close in H2**, which historically is also their stronger half. This isn't hope; it's pipeline visibility.

On Cash Flow

Operating cash flow was another pressure point. H1 was **negative**, and analysts wanted to know how the company still expects **₹100+ crore OCF for the full year**.

Chintan Sheth: Got it. And just confirmation and clarification on the OCF part, you mentioned INR100 crores OCF target for the full year. We are right now negative INR57-60 odd crores negative in first half. That implies that for the full year or in the second half, we need to generate almost INR150 crores, INR160-odd crores of operating cash, which you believe is doable, right?

Prabhat Agrawal: Yes, doable. If you look at first half of this year, our negative cash -- generally, the second quarter is the highest in terms of organic growth. And most of the working capital requirement happens in the Q2 of the year. Even if you look at our last year, our H2 was positive by INR50 crores. Even though our first half was INR125 crores negative.

So, again, the INR125 crores negative of last year, we are only INR58 crores negative in the first half. So, there is already INR60-70 crores cash flow higher in the first half of the year. Secondly, the second half of the year is always positive. And thirdly, we have an additional benefit because of the GST change. Because now the revenues that we will be billing to the customers will be at 5% GST against 12% GST earlier. So, there will be a 7% benefit in cash flow through lower pay.

The answer combined seasonality and structural change:

- H2 is traditionally stronger for collections
- The GST rate reduction from 12% to 5% lowers the absolute receivables outstanding
- Management quantified this clearly as a *~7% benefit to cash flow* purely from GST mechanics by year-end.

They're not promising miracles, *just mechanical improvements compounding together*

On MedTech: Why This Isn't Just "Another Acquisition Theme"

Perhaps the most insightful exchange came around MedTech.

Sajal Kapoor Sir from *Antifragile Thinking* questioned why high-quality *MedTech distributors* would sell at *single-digit EV/EBITDA multiples*, and how *Entero plans to build trust in a clinically sensitive segment*.

Sajal Kapoor: Prabhat, what incentives do these MedTech sellers have to kind of sell so cheaply EV/EBITDA? And why they are selling to us at a lower multiple compared to where our business is? That is the kind of a question I have.

Management's answer revealed the real edge:

Prabhat Agrawal: This is the same thing from beginning of the company. Even other pharmaceutical distributors are also on the same EV to EBITDA range. And the reasons are the same. They need a partner who can take them to a national level. They have kind of exploited most of the opportunities to grow on a standalone basis. There are issues on succession. So, these are the things which kind of incentivizes or motivates the seller to sell to us. Exactly the same reason that we had in..

Sajal Kapoor: Okay. And just to follow on this MedTech, the sales rely on deep sort of clinical trust. So how is Entero ensuring newly acquired teams, ortho, cardio, IVD, etc, build the expertise and sort of doctor/physician relationships needed to strengthen customer loyalty?

Prabhat Agrawal: Yes. So, this is not the first MedTech acquisition that we have done. If you recall, last year also, we did an acquisition in Chennai called Peerless Biotech, which was primarily in the IVD space and other medical devices. In certain segments, the relationship with the doctors and everything matters a lot. But when we are acquiring, we are acquiring the whole company, along with the whole team with the relationships and all that. That's the reason why we are paying a goodwill premium on that. So, the whole know-how, the knowledge, the relationship, the team, everyone comes along with this acquisition.

- Sellers are often constrained by **succession issues** or a **lack of national scale**
- Entero doesn't just buy revenues — it **acquires entire operating teams and doctor relationships**
- That's why **goodwill is paid: *trust is embedded in people, not assets***

Prabhat Agrawal: Yes. So, the company is -- it's a combination of 2-3 companies, some is proprietorship, some partnership and one is private limited. So, you may not find data on all that. We'll integrate one entity before we take over. But gross margins are mid-double digits and EBITDA margin in upwards of 10%.

Prabhat Agrawal:

So, most of the MedTech distributors are enjoying 10% plus EBITDA margins. So that's very synergistic to our existing business. So that's the reason we are building our portfolio in MedTech much more going forward.

Crucially, management highlighted that MedTech distributors often operate at:

- Mid double-digit gross margins
- EBITDA margins north of 10%

That margin pool is what Entero is structurally migrating toward.

Overall My Take:

Management was Unhurried in Approach, Numerate and Willing to Explain Mechanics, not just Outcomes. This is not a team trying to prop up sentiment.

This is a team *laying out how margins, cash flows, and scale converge over time.*

Big Money Moves:

Acquisition Update: Margin accretive acquisitions

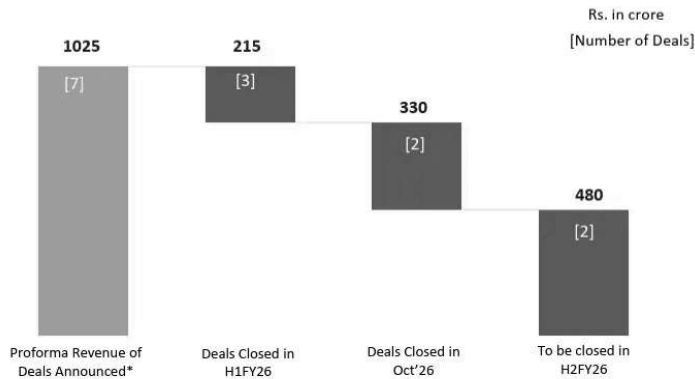


Proforma impact on Consolidated Financials[#]

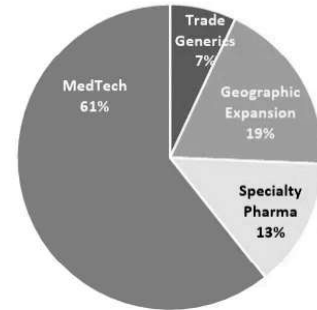
Gross margin : +70 to 90bps [10.2% -> 10.9% to 11.1%]
EBITDA Margin : +50 to 75bps [4.0% -> 4.5% to 4.75%]

EV/EBITDA multiple in single digits
in line with earlier acquisitions

On Track to meet Rs. 1,000 Cr Revenue from acquisitions



Acquisition mix



Successful track record of Acquisitions and Integration



Acquisition Strategy



› Take advantage of market consolidation opportunities available



› Pan-India approach towards acquiring and integrating smaller distributors



› On-ground acquisition team to identify acquisition opportunities



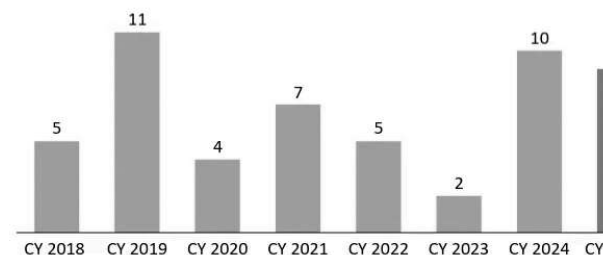
› Integration and growth approach replicable in existing and new geographies

Given our acquisition track record, we have been able to continuously attract distributors to integrate with us

Track Record of Growth of Acquired Companies

Distributor Name	Date of Acquisition	Location	FY21-23 Growth
R.S.M Pharma	14-Aug-2018	Bengaluru	~69%
Getwell Medicare Solution	26-Dec-2018	Kochi	~66%
Galaxystar Pharma Distributors	21-Feb-2019	Mumbai	~60%
Vasavi Medicare Solutions	31-May-2019	Coimbatore, Madurai	~88%
Millennium Medisolutions	07-Aug-2019	Gurugram	~61%
Sesha Balajee Medisolutions	13-Jan-2020	Visakhapatnam	~66%

53* Acquisitions Since Inception



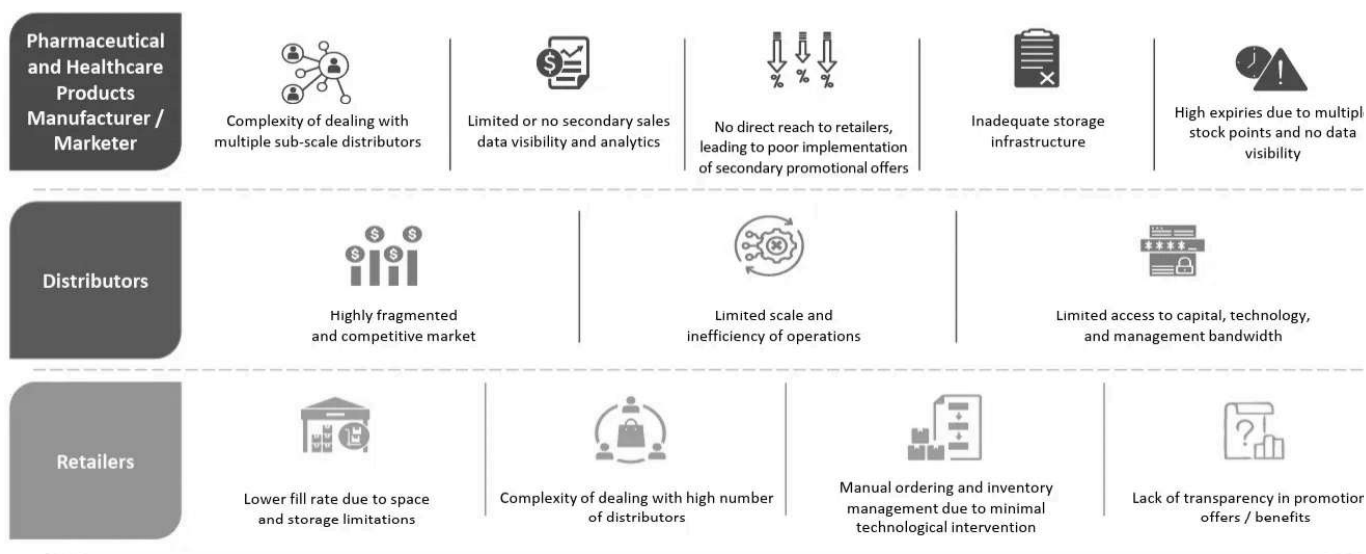
- Capex focused on *warehouses + technology*
- Acquisitions funded via:
 - Internal accruals

- Available cash
- Controlled leverage

This is management *putting chips on the table, not diluting recklessly.*

Risks & Valuation Thoughts:

Key Challenges in the Pharmaceutical Supply Chain



India is witnessing a shift from standalone/traditional distributors to large/national distributors having a wider presence, backed by market consolidation and the need for a reliable and scalable supply channel

Key Risks:

- Integration fatigue
- Working-capital heavy model
- Execution slippage in MedTech
- Regulatory pricing pressure

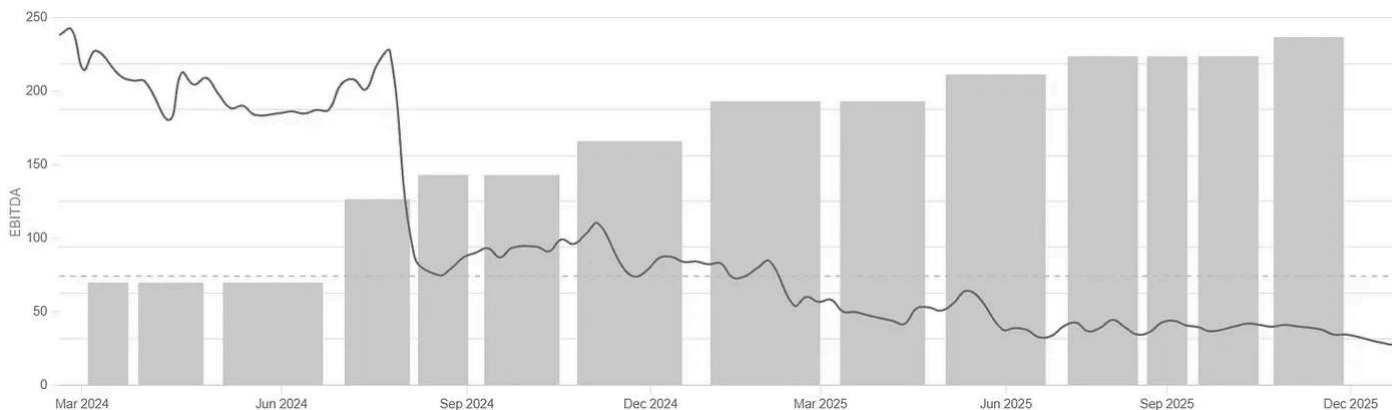
Business Risks:

- High dependence on working capital financing
- Potential for inventory obsolescence in pharmaceutical distribution
- Regulatory changes in pharmaceutical pricing and distribution
- Competition from direct-to-pharmacy models by manufacturers

Financial Risks:

- Debt levels from acquisition financing
- Integration challenges from multiple acquisitions
- Margin pressure in a competitive distribution landscape

Valuation Lens:



At 20x EV/EBITDA, the market is **pricing growth**, not perfection.

Any disappointment on:

- Margins
- Cash flows
- Integration

...will be punished.

Con-Call Goldmine:

Good con-calls aren't about answers; they're about **the anxiety behind the question**. It Seemed Analysts were increasingly focused only on:

- Organic vs inorganic growth mix
- Sustainability of margin expansion
- M&A pace beyond FY26

The subtext: *"Can you slow down and still compound?"*

On Growth vs Guidance

The question on growth guidance wasn't about missing numbers. It was about **credibility after a period of consolidation-heavy growth**.

Prabhat Agrawal:

No. So, post this next quarter, we'll be busy in closing these acquisitions. The reason why we - I think one of the reasons why we have missed a little bit on the revenue growth guidance of this year because we have taken a little more time to evaluate deals. And pharma, we have a good presence now. We want to expand into other synergistic segments.

And MedTech is a very good synergistic segment. The growth rate is higher. The role of the distributor is more important in this. The margin profile is far better. So that's the reason we are looking for those segments which are margin accretive as well as high growth.

If you look at -- we also acquired a distributor in trade generic, which again enjoys a higher growth profile and a higher margin profile. So, our internal guidance is that we should chase those business segments which can deliver higher growth as well as a higher margin.

Prabhat Agrawal:

No. So, you should look at the numbers differently. What we are saying on a like-to-like basis. So, like-to-like basis, our growth for H1 was 27%, okay, 27.8%. We changed the revenue recognition method at beginning of this year that impacted our growth by 2%-3%. So, adding back that growth rate on a like-to-like basis is 27.8% for this year. So, if you do the math, on the second half of the year, the revenue growth has to be 31% to achieve a 30% overall growth for the year. So, depending on how close we are able to bring in the revenues of these new acquisitions in the books, we should be close to our guidance.

Management's insistence on **like-to-like growth metrics** suggests they know:

The market is transitioning from rewarding “**growth at any cost**” to demanding **quality-adjusted growth**.

On Cash Flow Anxiety

The repeated focus on operating cash flow reveals lingering scepticism on:

- High growth
- Working-capital-heavy model
- Acquisition integration

Prabhat Agrawal:

So, you look at, for example, out of 90 days in a quarter, only 15 days were impacted, or less than 15 days. I estimate that probably our revenue growth would have been 1% higher, if the GST change would not have happened.

Prabhat Agrawal:

No, not materially because the impact of GST change would come in the second half of the year because from 22nd September onwards, we started billing customers with lower GST rate. So most of the receivables sitting on 30th September were with a higher GST rate only. But by December, by March, all these receivables will be replaced by new receivables, which will carry a 5% GST rate. So, the positive impact on cash flow from GST change would happen in H2 of this year.

Sajal Kapoor:

Yes, yes. Thank you for that. And finally, one just bookkeeping question for Bala. What factors explain the rise in trade receivables and also the inventories in the last 6 months? I mean, with improved return ratios and the reduction in net working capital to 63 now, what specific strategies in inventory management or receivable collections are optimizing this working capital cycle because those are the two key variables for us to get to positive operating cash flow.

Balakrishnan Kaushik:

Yes. So, Sajal, here, we are running workstreams specific to inventory, specific to trade receivables. And there is a renewed focus on improving our cash collection cycle as well as the way we order the inventory. So, we have a team put in. We have a task force that is there that is monitoring all the entities on these numbers, what kind of purchases are happening? Are we doing purchases in an optimized manner? Can we do purchases 4 times a month instead of 1 or 2 times a month. So, all these factors are being looked at closely. And the task forces - there are three or four task force that we have created that is driving this operational efficiency, which is actually yielding these results.

Management tackled this head-on by tying cash flows to:

- GST mechanics
- Receivable compression
- Seasonal patterns

On Automation vs Data Intelligence

Divy Agrawal here pointed out limited physical automation at a specific warehouse fair observation.

Divy Agrawal:

Sir, firstly, I recently visited the warehouse of Galaxystar, and I was surprised to find that the automation use there was minimal. So, to operate Entero, a) at such a large scale, and b) across locations with so many present and future acquisitions planned, one might assume things that the systems would be far more automated. So, what are the gaps in automation? And how are you working to address this with speed and accuracy?

But management reframed the discussion entirely.

Prabhat Agrawal:

So, you know, to operate in 113 warehouses in the country and having 100,000 customers and 80,000-plus stock keeping units, you can't function without having very good systems. So, from when we started Entero itself, at that time only we started building our own enterprise resource planning system. So, our ERP is our own self-developed. That's the reason why we are able to integrate our systems with WhatsApp, with messaging, with Amazon, with various other customers. Because the source code belongs to us. We can do customization, we can integrate with anyone.

We have a clear visibility of what inventory is lying. We have invested a lot in master data management, where we have standardized- because in India, just so many SKUs are there, similar sounding names in medicine. So, unless you have your own master data management, mapped to individual. See, whenever we are buying a local distributor, first thing we are doing is mapping his product codes to our centralized product codes. So, we can have a clear visibility of the same product lying in so many warehouses - where we can exchange between each other, move inventory from one where the demand is more than the supply to -- from where we have lower demand than supply. So, all these things, efficiencies, integration, synergies are happening only through the tech investments and team that we have built over many years.

*Their core advantage, they argued, isn't robotics or conveyors; it's **master data management**.*

- Tracking 80,000+ SKUs
- Across 113 warehouses
- With real-time demand sensing

This allows Entero to *move inventory to demand, not just store it efficiently*.

That's a subtle but powerful distinction:

In distribution, **information velocity matters more than physical automation.**

On Expense Spikes:

When questioned about spikes in interest cost and “other expenses”, management didn’t gloss over it:

Akshat Mehta: Okay. Sir, my second question is on -- I just want to understand why has there been a large increase in other expenses and interest costs during the quarter?

Balakrishnan Kaushik: So, increase in interest cost is mainly driven by the fact that we are utilizing money on acquisitions as well as on payment of milestone-related payables from last year acquisitions. So, as and when we use the IPO money, obviously, my net interest cost will go up. That's the reason because we had about a much larger cash balance at end of last year versus the cash balance we are currently having, which is about INR283 crores.

Akshat Mehta: And other expenses, sir. We have seen INR40 crores of other expenses this quarter, right? What is the reason for that?

Balakrishnan Kaushik: So, there are a couple of things there. So, there was a reclassification that was done between the revenue and the expenses on certain commission expenses, because of the nature of those commission expenses. Plus we also have some amount of ECL provisions that we've taken during H1. So based on the model that we do for expected credit losses, we've also taken about around INR3 crores of ECL in H1.

- Interest rose due to acquisition milestone payments using IPO proceeds
- Other expenses reflected reclassification and Expected Credit Loss (ECL) provisioning

Overall My Take:

Analysts aren’t doubting the story anymore. They’re asking:

“Can this machine keep compounding **without financial stress?**”

So far, management seems aware of exactly what they need to prove next.

Words That Matter:

“Real scale is not measured by size alone, but by the breadth of lives we touch, trust we earn, and the transformation we enable.”

“Scale without systems creates chaos. Systems without scale create cost. We’re building both together.” (*Paraphrased from management commentary*)

This philosophy explains almost everything Entero is doing:

- Why do they prioritise ERP and data over flashy warehouse automation
- Why do they acquire teams, not just distributors
- Why MedTech is strategic, not opportunistic

Market Consolidation Analogy:

Think of India’s pharma distribution like thousands of *local neighbourhood couriers*:

- Deep local knowledge
- No GPS
- No national routing

Entero is turning this fragmented network into a national logistics platform:

- Unified GPS (proprietary ERP)
- Shared fleet (warehouses + inventory visibility)
- Optimised routing (data-led demand allocation)

Medicines don’t just move; they move faster, cheaper, and more predictably.

Quote of the Quarter:

“Real scale is not measured by size alone, but by the transformation we enable across the ecosystem.”

It neatly captures the shift: From distributor → **infrastructure layer**.

This isn't fluff it aligns directly with their platform strategy.

The Competitive Arena:

S.No.	Name	CMP Rs.	Mar Cap Rs.Cr.	P/E	Ind PE	CMP / BV	Ind PBV	EV / EBITDA	M.Cap / S
1.	Medplus Health	808.25	9684.66	49.64	46.94	5.25	4.01	17.03	
2.	Entero Healthcar	1123.50	4888.45	44.23	46.94	2.77	4.01	22.14	(

Peer Landscape:

- Regional distributors: lack scale & tech
- Large pharma companies: not distributors
- New-age platforms: lack execution depth

Strengths:

- Pan-India presence with an extensive warehousing network
- Authorised distributor for top pharmaceutical companies
- Strategic relationships with leading corporate hospital chains
- Technology-driven platform providing operational efficiency
- Aggressive growth through acquisitions in a fragmented market

Challenges:

- Capital-intensive business model requiring continuous working capital
- Thin margins are typical of distribution businesses

- Integration risk from multiple acquisitions
- Competition from established distributors and direct distribution by manufacture

Entero's edge is combining all three: Scale + Distribution + Technology.

The Investor Sentiment Shift:

	Mar 2024	Jun 2024	Sep 2024	Dec 2024	Mar 2025	Jun 2025	Sep 2025
Promoters +	52.44%	52.44%	52.44%	52.44%	52.42%	52.42%	52.42%
FII +	23.30%	23.32%	23.82%	22.20%	19.92%	17.21%	14.71%
DII +	2.28%	2.06%	7.73%	8.78%	9.63%	10.19%	10.19%
Public +	21.99%	22.18%	16.02%	16.59%	18.03%	20.19%	20.19%
No. of Shareholders	80,864	66,400	36,767	33,172	33,159	33,338	34,000

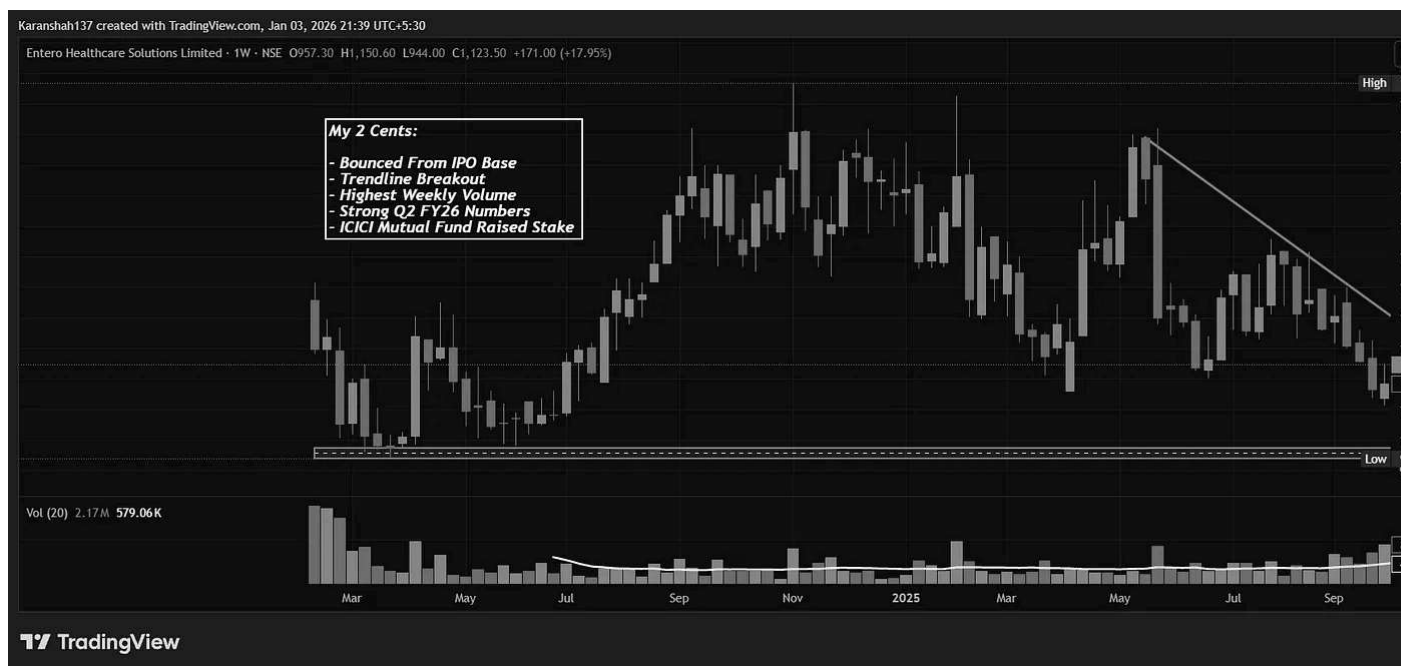
- **Promoter holding is stable around ~52.4%** throughout the period, which signal confidence and no dilution or exit intent from promoters.
- **FII (Foreign Institutional Investor) holding is steadily declining from ~23.8% to ~14.7%.** This suggests foreign investors are trimming exposure, possibly due to valuation concerns, *global risk-off sentiment*, or stock-specific reasons.
- **DII (Domestic Institutional Investor) holding is rising sharply from ~2–3% to around ~9–10%.** This indicates growing confidence from Indian institutions, often seen as a positive long-term signal.
- **Public shareholding is increasing from ~16% to ~23%,** likely absorbing the shares sold by FIIs. This shows wider retail participation.
- **The number of shareholders dropped sharply earlier (from ~80k to ~33k)** and is now slowly rising again, indicating an initial exit of weak hands followed by gradual re-entry.
- Backed by the *Small World Fund*, the *Government of Singapore & Stichting Fund*
- Actively Managed by *Invesco India Contra Fund & Invesco India ELSS Tax Saver F*

- An *indirect bet* on this Company can be taken through the *Passive Funds* of the *Nifty Microcap 250 Index Funds* (Although it's a Small part of the Index).

My Overall takeaway:

Ownership is shifting from foreign institutions to domestic institutions and retail investors, while promoters remain committed, and this is generally constructive if business fundamentals remain intact.

Technical Setup: (Bonus: If you came this far reading):



Price Action Analysis:

Overall Trend Structure:

The stock exhibits a classic post-IPO distribution pattern that has transitioned into a prolonged corrective phase. After listing at premium levels, Entero Healthcare established an all-time high of around ₹1,584 in the early trading sessions. Since then, the stock has been in a consistent downtrend, forming a descending channel pattern.

characterised by lower highs and lower lows.

The current price action at ₹1,123 represents a potential inflexion point, with the stock attempting to reverse from its 52-week low of ₹944. This level has now been tested multiple times, suggesting it may be forming a demand zone.

Base Formation and Consolidation Zones:

A Critical IPO base zone around the ₹950-1,000 level represents the convergence of several technical factors:

- Initial Public Offering pricing memory
- Multiple tests of support over several weeks
- High volume accumulation zone
- Psychological round number support at ₹1,000

The stock spent considerable time between ₹1,100-1,300 during the mid-2025 period, forming what appears to be a distribution zone where early investors and IPO subscribers likely exited positions.

Volume Spread Analysis:

Volume Profile:

The volume bar chart at the bottom reveals several critical insights:

Initial listing period showed extremely high volumes (approaching 3M shares), reflecting IPO excitement and allocation distribution. As the stock price declined, volume generally decreased, which is typical of a loss of interest and momentum.

Recent sessions have shown a notable pickup in volume, particularly:

- The current session is showing 2.17M shares traded
- This represents the highest weekly volume since the post-IPO period

- Volume spike coinciding with price bounce from the ₹944 low

Volume-Price Correlation:

The relationship between price and volume provides important context:

- Downtrend was accompanied by declining volume, suggesting weak conviction in the selling
- Recent bounce from ₹944 came with significant volume expansion, indicating institutional or informed buying
- The volume surge at support levels suggests accumulation rather than distribution
- Volume on up days is starting to exceed volume on down days, a positive divergence

Volume at Key Levels:

The IPO base around ₹1,000 has seen sustained high volume, creating a significant support zone. This volume cluster suggests that many participants have established positions at these levels and are likely to defend them.

Key Support and Resistance:

Major Support Levels:

Primary Support: ₹944 - This represents the 52-week low and has been tested multiple times. A breakdown below this level would be technically significant and likely trigger stop losses.

Secondary Support: ₹1,000 (IPO Base) - This psychological level and IPO reference point have provided support during multiple retests.

Tertiary Support: ₹1,100 - This level has acted as both support and resistance during the consolidation phase and represents a minor demand zone.

Major Resistance Levels:

Immediate Resistance: ₹1,200 - This level represents the recent consolidation zone ceiling and the lower boundary of the prior distribution range.

Primary Resistance: ₹1,300 - Strong resistance zone where the stock has repeatedly failed to sustain higher prices. This area coincides with multiple supply zones from earlier in the year.

Major Resistance: ₹1,400 - The upper boundary of the post-IPO distribution range. Breaking above this would negate the bearish structure.

Ultimate Resistance: ₹1,584 (All-Time High) - The peak was established shortly after IPO listing. A move to this level would represent a full recovery.

Link to the Full Idea & Thesis Posted Over the Weekend:

<https://in.tradingview.com/chart/ENTERO/iLRVGchp-ENTERO-Trendline-Breakout-From-IPO-Base-Chart-of-The-Week/>

My 2 Cents:

Entero is *not a momentum stock*. It's a *compounding platform story hiding inside a low-margin business*. The *path won't be linear*. *Volatility is guaranteed*.

It is *at a critical technical juncture, testing the boundaries* of a months-long downtrend. The stock has established a **strong support base around ₹944-1,000**, coinciding with IPO pricing memories and significant institutional buying. Recent volume surge and price action suggest **potential trend reversal**, though confirmation requires a **sustained break above ₹1,200**.

The company has *demonstrated impressive revenue growth and recently achieved profitability*. Its *extensive distribution network and strategic acquisitions position it well for continued market share gains in a consolidating industry*.

But if:

- MedTech scales up
- Margins inch up
- Cash flows stabilise

...this could quietly become one of India's most important healthcare infrastructure plays.

Investors should note the **capital-intensive nature of the business**, integration risk from rapid acquisitions, and the need for sustained margin improvement to justify valuations.

What I'll Track Next? (And you should as well):

- MedTech margin contribution
- Free cash flow consistency
- Pace of acquisitions post FY26
- HealthEdge adoption metrics
- EBITDA margin improvement from operational leverage
- Return on capital employed as brownfield expansions mature
- Working capital efficiency and cash conversion cycle
- Market share gains in key geographies

Strong story. Patience required. Timing will decide returns.

Too Long? Didn't Read? Here's The Summary:

- Entero is executing a **classic buy-and-build consolidation** in India's fragmente pharma + MedTech distribution space.
- FY25 marked an **inflexion year**: strong revenue growth, margin expansion, and turn to positive operating cash flows.
- Q2 FY26 confirmed momentum with **~21% YoY revenue growth**, EBITDA mar touching **~4%**, and improving ROCE.
- The real story lies in **MedTech acquisitions + tech platforms (HealthEdge)** qui reshaping the margin profile.
- No demerger, no flashy restructuring — this is a **slow, compounding platform story**, not a one-off event.

Pat your Back if you came this far reading. This shows your keenness in Finance ar Speaks Volumes of your Character. Answer the poll below and Like this Newsletter if you found it useful.

POLL

What excites you most about Entero's story?

Margin expansion via MedTech

Aggressive M&A consolidation

Tech platforms like HealthEdge

Still sceptical bcz Execution risk

18 VOTES ·

This Week's Recommendation:

Deepinder Goyal: Zomato, 10-Min Delivery, Founder Mindset & Business
Raj Shamani

[Watch on](#)

Ugh, that was a Marathon Podcast. You are not going to believe the level of raw honesty in this latest sit-down with **Zomato Founder Deepinder Goyal**. Who transitioned from a **bullied kid with a 42% school score** to the billionaire leader of India's quick-commerce revolution. It covers everything from the **high emotional cost of leadership** and the "obsession" required to build a legacy, to why he runs a multi billion dollar empire with **zero annual goals or quarterly targets**.

What I Liked the Most?

I'm still reeling from the “explosive” revelations Deepinder dropped about the **inner workings of Zomato and Blinkit**. My mind was blown when he admitted to **purposefully pushing high-potential employees to “rock bottom”** to see if they could bounce back, and how he actually **fired his childhood best friend** right after a **billion-dollar** acquisition.

I also got the dirty details on the **infamous 20-lakh-rupee “fee” for his Chief of Staff position**. Plus, he finally addresses the “inhuman” side of the business, including **mass terminations and the 10-minute delivery controversy** that has everyone talking. But wait until you hear the real reason the 10-minute timer exists; it's a total game-changer.

Why you Should Not Miss watching this?

Stop what you are doing and listen to this immediately because you are missing out on the **blueprint for the next 50 years of humanity**. Deepinder is moving way beyond food delivery into “deep tech” moonshots, including **flying taxis that could replace trains** and a secret device called “**Temple**” that **monitors your brain flow** to stop you from ageing. He's tackling the “**Gravity Ageing Hypothesis**,” suggesting that the **force holding us to Earth** is what's killing our brains. If you don't hear this now, you **will be the last one to know** how the “**billionaire's mindset**” is pivoting toward **eternal life and aerospace**. Do you really want to stay stuck in a 9-5 mindset while the world evolves without you?

Disclaimer:

As per the Latest SEBI Mandate, this isn't a Trading/Investment RECOMMENDATION nor for Educational Purposes; it is just for Information purposes only. The Price Chart data used is 3 Months old, as Showing Live Price Chart Data is not allowed according to the New SEBI Mandate.

I am not a “SEBI-registered research Analyst and Investment Adviser” (No RECO, DOYR)

This analysis in my Newsletter is *just my Personal View* and is intended solely for informational purposes and should not be interpreted as financial advice.

It is highly advisable to *consult a qualified financial advisor* and conduct thorough research before making any investment decisions.

■ *Enjoyed this? Please Hit Like and Restack. Hit subscribe for more clear, no-fluff breakdowns of India's hidden gems and high-growth bets.*

↓ Want this in PDF or with segment-wise visuals next time? Let me know.

🔊 Like this post? Drop your thoughts in the comments! 💬 👍 💡

If you found this useful and enjoyed this newsletter, don't forget to **Subscribe** for **weekly insights** and *share them with a fellow market nerd.*

kaushik.keerti29@gmail.com

Subscribe

Thanks for reading Karan's Substack! Subscribe for free to receive new posts and support my work.

kaushik.keerti29@gmail.com

Subscribe

Entero Healthcare, Indian Pharma Distribution, Healthcare Logistics India, MedTech Distribution, Pharma Consolidation India, Healthcare Supply Chain, Indian Healthcare Stocks, Midcap Healthcare, Buy and Build Strategy, Pharma Distributor

India, HealthEdge Platform, Q2 FY26 Results, Healthcare M&A India, Entero Stock Analysis



26 Likes · 9 Restacks

← Previous

Next →

Discussion about this post

Comments

Restacks



Write a comment...



MALLIKARJUNA 7 Jan

♥ Liked by Karan Shah

Yet again you have done an excellent research I don't think it's AI generated. You have taken you valuable time and neatly provided each and every fact without any bias. This is very much interes One thing I observed FII and even DII reduced their holdings whereas retailer's are increases thei more retail participation may leads higher volatility . Single digit margin is a bit worry . The repor less any SEBI registered research analyst. ♥♥♥♥♥♥

♥ LIKE (3) 💬 REPLY



1 reply by Karan Shah



Dhruv Anand 7 Jan

♥ Liked by Karan Shah

Great Research

 LIKE (2)  REPLY

1

1 reply by Karan Shah

11 more comments...

© 2026 Karan Shah · [Privacy](#) · [Terms](#) · [Collection notice](#)
Substack is the home for great culture